A Comprehensive Framework of Financial Due Diligence Interrogatories for Venture Capital Investment

Introduction

This document presents a comprehensive and exhaustive set of 100 financial due diligence interrogatories designed for the rigorous evaluation of a target startup company prior to a venture capital investment. The questions are framed from the perspective of an investor's legal and financial counsel, with the primary objective of systematically identifying, quantifying, and mitigating risk. The structure of these interrogatories is intended to facilitate an automated due diligence process, wherein an AI agent can methodically probe a target's data room to verify claims, assess financial health, and ultimately generate a quantifiable measure of operational and financial integrity.

The framework is divided into five core parts, each addressing a critical pillar of financial analysis:

1. **Foundational Financial Health and Historical Performance:** Establishes the veracity and quality of past financial reporting.
2. **The Business Model and Unit Economics:** Assesses the fundamental economic viability and scalability of the company's customer acquisition and retention engine.
3. **Projections, Cash Flow, and Capital Management:** Scrutinizes the company's forward-looking plans, its ability to manage liquidity, and the realism of its financial projections.
4. **Capital Structure, Liabilities, and Corporate Finance:** Examines ownership, debt obligations, and other commitments that could impact an investor's stake and rights.
5. **Compliance, Controls, and Risk:** Verifies adherence to legal and regulatory requirements and assesses the internal environment for preventing errors and managing risk.

Each question is designed not merely to elicit a piece of data, but to compel the target company to provide verifiable evidence and context. This approach moves beyond surface-level metrics to uncover the underlying operational realities, strategic priorities, and management quality that determine a startup's ultimate success or failure. The following matrix provides a structured overview of the interrogatories, mapping each question to its corresponding report section, the primary risk it assesses, and the key documents required for a complete response.

Due Diligence Master Interrogatory Matrix

Q-ID	Interrogatory	Report Section	Primary Risk Assessed	Primary Documents Required
Part I: Foundational Financial Health				

Q-ID	Interrogatory	Report Section	Primary Risk Assessed	Primary Documents Required
and Historical Performance				
1	Provide complete, audited annual financial statements for the three most recent fiscal years, including the Balance Sheet, Income Statement (P&L), and Statement of Cash Flows. Include the full, unabridged auditor's opinion letter for each audit.	1.1	Financial Reporting Integrity	Audited Financial Statements, Auditor's Opinion Letters
2	Provide all unaudited interim financial statements (P&L, Balance Sheet, Cash Flow) for all completed quarters since the last audited period, as well as for the current year-to-date period.	1.1	Real-time Financial Visibility	Unaudited Interim Financials
3	Disclose all management letters, reports on internal controls, or similar correspondence issued by your independent auditors for the past three fiscal years, along with the company's written responses.	1.1	Internal Control Weakness	Auditor Management Letters, Company Responses

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4	Provide a detailed summary of all significant accounting policies, noting any changes to these policies within the last three years and the quantitative impact of such changes.	1.1	Accounting Policy Manipulation	Summary of Accounting Policies
5	Provide a detailed schedule of revenue, broken down by month for the past 36 months, segmented by primary revenue streams (e.g., subscription, usage-based, professional services, hardware).	1.2	Revenue Concentration	General Ledger Detail, Revenue Reports
6	Provide a reconciliation from non-GAAP metrics (Bookings, ARR/MRR) to GAAP/IFRS revenue for each of the past 12 quarters.	1.2	Misleading "Vanity" Metrics	Booking Reports, ARR/MRR schedules, Revenue Recognition schedules
7	Submit a schedule listing the top 20 customers by revenue for each of the last three fiscal years, including the revenue generated from each and	1.2	Customer Concentration Risk	Customer Revenue Reports, CRM Data

Q-ID	Interrogatory	Report Section	Primary Risk Assessed	Primary Documents Required
	their percentage of total revenue.			
8	Provide a complete deferred revenue waterfall schedule as of the most recent month-end, showing the projected recognition schedule for all contracted but unearned revenue.	1.2	Revenue Recognition Integrity	Deferred Revenue Schedule
9	Disclose any unbilled receivables or revenue recognized from contracts where the cash has not yet been invoiced, along with the contractual justification for this recognition.	1.2	Aggressive Revenue Recognition	Schedule of Unbilled AR, Customer Contracts
10	Provide a detailed breakdown of all components of Cost of Goods Sold (COGS) or Cost of Revenue for the past 12 quarters, itemizing costs such as hosting, third-party software/API fees, customer support salaries and expenses, and implementation costs.	1.3	Gross Margin Integrity	General Ledger Detail for COGS accounts
11	Present the Gross Margin percentage	1.3	Business Model Scalability	Financial Statements,

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	on a quarterly basis for the past 12 quarters, both for the company overall and segmented by each major product or service line.			Internal Margin Analysis
12	If Gross Margin has declined in any of the past 8 quarters, provide a detailed narrative explaining the specific drivers of this decline (e.g., increased support costs, pricing pressure, architectural inefficiencies).	1.3	Technical or Operational Debt	Management Analysis/Commentary
13	Provide a "per-customer" cost analysis, estimating the average monthly COGS attributable to a single customer. Explain the methodology used for this calculation.	1.3	Scalability of Customer Support	Internal Costing Models
14	Provide a detailed breakdown of all operating expenses (OpEx) for the past 12 quarters, categorized by department (Sales & Marketing, R&D, G&A).	1.4	Operational Inefficiency	Departmental P&Ls, General Ledger Detail
15	For each	1.4	Lack of Financial	Budget vs. Actual

Q-ID	Interrogatory	Report Section	Primary Risk Assessed	Primary Documents Required
	department, provide the budget vs. actual spending for the past two fiscal years and the current year-to-date. Explain any variances greater than 10%.		Discipline	Reports
16	Provide a schedule of headcount by department for each of the past 12 quarter-ends.	1.4	OpEx Driver Analysis	HR/Payroll Records
17	For the past 12 quarters, present R&D expenses as a percentage of revenue. Concurrently, provide a list of all patents filed and major product features shipped in the same period to demonstrate ROI.	1.4	Inefficient R&D Spend	Financials, Product Roadmaps, Patent Filings
18	Disclose any transactions between the company and any officers, directors, or significant shareholders (related-party transactions) over the past three years.	1.4	Self-Dealing/Conflict of Interest	Related-Party Transaction Schedule, Board Minutes
Part II: The Business Model and Unit Economics				

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19	Provide your detailed Customer Acquisition Cost (CAC) calculation methodology. List every general ledger account and the percentage of that account's expense allocated to the CAC numerator for a given period.	2.1	Unit Economic Unsustainability	CAC Calculation Model, General Ledger
20	Present your blended CAC on a quarterly basis for the past 12 quarters.	2.1	Declining Marketing Efficiency	Marketing & Sales Expense Reports, CRM Data
21	Provide a breakdown of CAC by major acquisition channel (e.g., Paid Digital, Content/SEO, Direct Sales, Channel Partners) for the past 8 quarters.	2.1	Channel Saturation Risk	Marketing Analytics Reports, Channel Partner Agreements
22	Provide the source data (e.g., CRM report, product analytics) for the 'new customers' denominator used in your CAC calculation for each quarter. Justify your definition of a "new customer."	2.1	CAC Calculation Manipulation	CRM Reports, Product Analytics Data
23	Justify the exclusion of any sales or	2.1	Hidden Acquisition Costs	Management Commentary, Org Charts

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	marketing-related expenses (e.g., salaries of onboarding specialists, a portion of executive salaries) from your CAC calculation.			
24	Provide your calculation for Customer Lifetime Value (LTV), clearly stating the inputs used for Average Revenue Per Account (ARPA), Gross Margin %, and Churn Rate.	2.2	Inaccurate LTV Projection	LTV Calculation Model
25	Present your LTV on a quarterly basis for the past 8 quarters, explaining any significant changes in the underlying inputs.	2.2	Declining Customer Value	LTV Trend Analysis
26	Provide a cohort analysis of Net Revenue Retention (NRR) for each monthly or quarterly customer vintage acquired since inception. The analysis should track each cohort's revenue over time.	2.2	Poor Product-Market Fit / High Churn	Cohort Analysis Report (from billing system or BI tool)
27	Provide a cohort analysis of Logo Retention for the same vintages and	2.2	Customer Dissatisfaction	Cohort Analysis Report

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	periods as the NRR analysis.			
28	Provide a detailed breakdown of the drivers of NRR, quantifying the contribution from expansion, contraction, and churn for each of the last 8 quarters.	2.2	Unsustainable Growth Drivers	Revenue Analytics Reports
29	List the primary reasons cited by customers for both logo churn and revenue contraction over the past 24 months.	2.2	Competitive Threats / Product Gaps	Churn Surveys, CRM Notes, Customer Support Logs
30	Present your LTV:CAC ratio on a quarterly trended basis for the past 12 quarters.	2.3	Unsustainable Business Model	LTV & CAC Models
31	Present your CAC Payback Period (in months) on a quarterly trended basis for the past 12 quarters.	2.3	Capital Inefficiency	CAC & ARPA Data
32	Provide a narrative explaining the drivers of any significant changes (positive or negative) in your LTV:CAC ratio and Payback Period.	2.3	Lack of Economic Understanding	Management Commentary
33	Based on your current unit economic trends, at what level of monthly recurring	2.3	Unclear Path to Profitability	Financial Model, Unit Economic Analysis

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	revenue do you project the company will achieve cash flow break-even? Provide the model supporting this projection.			
Part III: Projections, Cash Flow, and Capital Management				
34	Provide your detailed, bottom-up operating and financial model for the next 36 months, including monthly P&L, Balance Sheet, and Cash Flow Statement projections.	3.1	Unrealistic Financial Plan	Financial Model (Excel/Google Sheets)
35	The model must include a separate 'Assumptions' tab detailing all key operational drivers and their projected values (e.g., new logo acquisition, ARPA growth, churn rates, sales rep quota, hiring plan by role).	3.1	Unsubstantiated Projections	Financial Model
36	For each key assumption in your model, provide the historical data for the past 12-24 months to substantiate your forward-looking	3.1	"Hockey Stick" Fantasy	Historical Performance Dashboards, CRM/BI Reports

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	projections.			
37	Provide a sensitivity analysis or scenario analysis showing the impact on revenue and cash runway based on a +/- 20% variance in your top 3 most sensitive assumptions.	3.1	Lack of Risk Planning	Financial Model
38	Provide your calculation of Net Burn and Gross Burn for each of the past 12 months.	3.2	Excessive Cash Burn	Statement of Cash Flows, Bank Statements
39	Based on the most recent month's Net Burn and current cash balance, what is your calculated cash runway in months?	3.2	Imminent Insolvency Risk	Cash Balance Statement, Burn Calculation
40	Provide a breakdown of your average monthly Net Burn into three categories: 1) Growth Investment (all costs included in CAC), 2) Product Investment (all R&D expenses), and 3) Overhead (all G&A and other non-growth/product expenses).	3.2	Poor "Burn Quality"	Management-prepared Burn Analysis
41	Justify the return on investment for your Growth and Product burn	3.2	Inefficient Capital Allocation	KPI Dashboards, Product Roadmaps

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	categories over the past 12 months with specific KPIs (e.g., new ARR added, key features shipped).			
42	What is the minimum cash balance required to operate the business, and what is the board-approved plan if the cash balance approaches this level?	3.2	Lack of Contingency Planning	Board Minutes, Treasury Policy
43	Provide an Accounts Receivable (AR) aging schedule as of the most recent month-end.	3.3	Poor Cash Collection	AR Aging Report from Accounting System
44	Identify any customers representing more than 10% of the >90 days past due balance and provide the status of collection efforts and any related disputes.	3.3	Customer Disputes / Bad Debt Risk	AR Aging Report, CRM Notes
45	Provide an Accounts Payable (AP) aging schedule as of the most recent month-end.	3.3	Supplier Relationship Risk	AP Aging Report from Accounting System
46	Describe your company's standard customer payment terms	3.3	Weak Negotiating Position	Standard Customer Agreement, Major Customer

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	and any significant deviations for large customers.			Contracts
47	Provide a schedule of your top 10 vendors by spend and their standard payment terms.	3.3	Working Capital Strain	Vendor Contracts, AP Reports
48	Calculate and provide your Cash Conversion Cycle for each of the last four quarters.	3.3	Operational Cash Inefficiency	Financial Statements
Part IV: Capital Structure, Liabilities, and Corporate Finance				
49	Provide the current, fully-diluted capitalization table, certified by an officer of the company. It must include all classes of stock, all issued shares, all outstanding options, warrants, and other convertible securities.	4.1	Capitalization Dilution Risk	Certified Cap Table (from Carta, Shareworks, or similar)
50	The cap table must detail the entire employee stock option pool, including the total number of shares authorized, granted, and remaining available for grant.	4.1	Insufficient Employee Incentive Pool	Cap Table, Stock Plan Documents

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51	Provide a pro-forma cap table that models the conversion of all outstanding convertible instruments (e.g., SAFEs, convertible notes) and the issuance of new shares for this proposed financing round at the proposed valuation.	4.1	Misunderstanding of Post-Money Ownership	Pro-forma Cap Table Model
52	Disclose any written or verbal commitments to issue equity (shares, options, or otherwise) that are not yet reflected on the current capitalization table.	4.1	"Shadow" Dilution Risk	Board Minutes, Offer Letters, Consulting Agreements
53	Provide copies of all 409A valuation reports commissioned by the company to date.	4.1	Tax Compliance Risk (Cheap Stock)	409A Valuation Reports
54	Provide a list of all security holders with special rights, such as pro-rata rights, information rights, or board observation rights, and provide the agreements granting these rights.	4.1	Encumbered Governance	Shareholder Agreements, Prior Financing Docs
55	Provide copies of	4.2	Hidden Covenants	All Debt

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	all agreements related to any past or present indebtedness, including loan agreements, credit agreements, venture debt facilities, and security agreements.		and Liens	Agreements and Amendments
56	Provide a summary of all financial, affirmative, and negative covenants contained within your debt agreements. Note any instances of non-compliance in the past 24 months.	4.2	Breach of Debt Covenants	Debt Agreements, Compliance Certificates
57	Detail any security interests, liens, or encumbrances granted over any company assets, including intellectual property.	4.2	Subordinated Investor Position	Security Agreements, UCC Filings
58	Disclose all off-balance-sheet liabilities, including operating lease commitments, guarantees, indemnification obligations, and letters of credit. Provide a schedule of future minimum	4.2	Hidden Financial Liabilities	Lease Agreements, Guarantees, Contracts with Indemnities

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	payments for all such commitments.			
59	Describe any "change of control" provisions within your debt or material commercial agreements that would be triggered by this financing or a future acquisition.	4.2	Transaction Obstacles	Debt Agreements, Material Contracts
60	Provide a schedule of all capital leases and their associated assets and liabilities.	4.2	Undisclosed Capital Obligations	Capital Lease Agreements, Balance Sheet
Part V: Compliance, Controls, and Risk				
61	Provide complete copies of all filed federal, state, and local income tax returns for the three most recent fiscal years.	5.1	Tax Non-Compliance	Filed Tax Returns
62	Provide copies of all sales & use tax and payroll tax filings for the past 12 quarters.	5.1	Payroll/Sales Tax Liability	Filed Tax Returns
63	Provide a list of all jurisdictions (states and foreign countries) where the company has or has had employees, contractors,	5.1	Unrecorded "Nexus" Tax Liability	Employee/Contractor Roster by Location, Revenue by Geography

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	physical property, or significant revenue in the last three years. For each, confirm whether you file all relevant taxes.			
64	If you do not file taxes in a jurisdiction where you have a presence (as defined above), provide a memo explaining the legal basis for this position.	5.1	Aggressive Tax Positions	Tax Advisor Memo/Opinion
65	Disclose any and all correspondence with any tax authority (IRS, state, local, foreign) regarding any audits, inquiries, or disputes within the past five years.	5.1	Ongoing Tax Disputes	Correspondence with Tax Authorities
66	Provide documentation supporting any R&D tax credits claimed in the past three years.	5.1	Disallowance of Tax Credits	R&D Tax Credit Study/Report
67	Provide a written description of your internal control process for cash disbursements over $5,000, including the names and titles of individuals required for approval.	5.2	Risk of Fraud/Unauthorized Spending	Internal Controls Documentation

Q-ID	Interrogatory	Report Section	Primary Risk Assessed	Primary Documents Required
68	Describe the process for employee expense report submission, review, and reimbursement. Who is responsible for approving executive expense reports?	5.2	Expense Reimbursement Abuse	Expense Policy Document
69	Describe the process for the monthly financial close and the review and approval of financial statements by management before they are presented to the board.	5.2	Inaccurate Financial Reporting	Internal Controls Documentation
70	Is there a formal segregation of duties in your finance/accounting function (e.g., the person who approves payments is different from the person who executes them)? If not, describe any compensating controls.	5.2	Lack of Basic Financial Controls	Org Chart, Internal Controls Documentation
71	Provide a schedule of all insurance policies currently in force, including coverage types (D&O, E&O, Cyber, General Liability), coverage	5.3	Inadequate Risk Mitigation	Insurance Policy Summary/Schedule

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	limits, and annual premiums.			
72	Has the company had any insurance claims denied in the past three years? If so, provide details.	5.3	Uninsurable Risks	Claims History Report
73	Specifically for your Cyber Liability/Data Breach insurance, provide the application submitted to the carrier, as any misrepresentations could void coverage.	5.3	Voided Cyber Insurance	Cyber Insurance Application
74	Provide a summary of any pending, threatened, or historical litigation, arbitration, or governmental investigation involving the company, its officers, or directors.	5.4	Contingent Legal Liabilities	Litigation Summary from Counsel
75	Provide a list of all government licenses and permits required to operate the business and confirm that all are in good standing.	5.4	Regulatory Non-Compliance	Schedule of Licenses and Permits
Additional Granular Interrogatories				
76	Provide a monthly cash flow	3.2	Cash Flow Volatility	Monthly Cash Flow Statements

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	statement for the last 24 months, showing the breakdown between cash from operations, investing, and financing activities.			
77	Detail any factoring of receivables or other non-traditional financing arrangements used in the past 24 months.	4.2	Costly/Predatory Financing	Financing Agreements
78	Provide a schedule of fixed assets, including purchase date, cost, accumulated depreciation, and net book value.	1.1	Asset Valuation	Fixed Asset Register
79	Disclose the company's policy on bad debt reserves and provide the calculation for the reserve for the last four quarters.	3.3	Understated Bad Debt	Accounting Policy, Reserve Calculation
80	What is the average sales cycle length (from initial contact to closed-won deal) for a new customer? How has this trended over the past 8 quarters?	2.1	Lengthening Sales Cycle	CRM Analytics
81	Provide a schedule of sales	1.4	High Cost of Sales	Commission Plans, Payroll

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	commissions, detailing the structure (e.g., % of TCV, upfront vs. recurring), and the total commission expense for the last 8 quarters.			Records
82	How is customer support performance measured (e.g., CSAT, NPS, first response time)? Provide the data for these metrics for the past 12 months.	1.3	Poor Customer Satisfaction	Customer Support System Reports
83	Detail any material contracts with suppliers or partners that include exclusivity clauses or minimum purchase commitments.	4.2	Restrictive Commercial Agreements	Material Contracts
84	Provide a list of all software used to run the business (e.g., CRM, ERP, HRIS) and the annual cost for each.	1.4	High G&A Overhead	Vendor Spend Analysis
85	Disclose any severance or deferred compensation plans or agreements in place for any employees or executives.	4.2	Hidden Employee Liabilities	HR Policies, Employment Agreements
86	What percentage of your workforce	5.1	Worker Misclassification	Headcount Reports

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	is composed of independent contractors versus full-time employees? Provide a breakdown by department.		Risk	
87	Provide a list of all bank accounts, credit card accounts, and investment accounts held by the company, including the authorized signatories for each.	5.2	Financial Control Gaps	Bank Mandates, Treasury Documentation
88	Has the company ever undergone a "down round" financing? If so, provide details on the terms and the impact on the cap table.	4.1	Historical Valuation Issues	Prior Financing Documents
89	Provide a summary of the company's disaster recovery and business continuity plan from a financial and operational perspective.	5.3	Operational Risk	DR/BCP Documentation
90	What is the company's revenue recognition policy, specifically regarding multi-element arrangements	1.2	ASC 606 / IFRS 15 Compliance	Revenue Recognition Policy Memo

Q-ID	Interrogatory	Report Section	Primary Risk Assessed	Primary Documents Required
	(e.g., a contract including software subscription, implementation, and support)?			
91	Provide a bridge analysis explaining the variance between the revenue projected in the prior year's budget and the actual revenue achieved.	3.1	Inaccurate Forecasting	Budget vs. Actual Analysis
92	For any usage-based revenue streams, provide the key metrics tracked (e.g., API calls, data storage) and the historical usage data for the past 12 months.	1.2	Volatile Revenue Streams	Product Analytics Data
93	Disclose any shareholder agreements, voting agreements, or other arrangements that govern the control and management of the company.	4.1	Complex Governance Structure	Shareholder/Votin g Agreements
94	What is the average tenure of an employee in the engineering department versus the sales department? Provide attrition rates by department for the	1.4	Talent Retention Issues	HR Analytics Reports

Q-ID	Interrogatory	Report Section	Primary Risk Assessed	Primary Documents Required
	last two years.			
95	Provide a list of any assets that have been pledged as collateral for any loans or other obligations.	4.2	Asset Encumbrance	Security Agreements
96	Has the company ever repurchased shares from any founder, employee, or investor? If so, provide the details of the transaction, including price and justification.	4.1	Unusual Capital Transactions	Board Resolutions, Stock Purchase Agreements
97	Provide a breakdown of marketing spend by category (e.g., paid ads, content, events, PR) for the last 8 quarters.	2.1	Marketing Channel Dependency	Marketing Expense Reports
98	For any physical locations (offices, data centers), provide copies of the real estate lease agreements.	4.2	Long-term Lease Liabilities	Lease Agreements
99	Does the company have a formal transfer pricing policy for any inter-company transactions between domestic and foreign subsidiaries? If so, provide the policy documentation.	5.1	International Tax Risk	Transfer Pricing Study/Policy
100	Provide a summary of the	4.1	Equity Plan Competitiveness	Stock Option Plan Document

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	key terms of the employee stock option plan, including vesting schedules (e.g., 4-year with 1-year cliff), exercise period post-termination, and any acceleration provisions upon change of control.			

Part I: Foundational Financial Health and Historical Performance

This initial phase of diligence is designed to establish a baseline of financial truth. Before any analysis of business models or future projections can be trusted, an investor must verify the accuracy, consistency, and integrity of the company's historical financial reporting. This section probes not only the numbers themselves but also the processes and governance that produce them.

1.1 Corporate Financial Statements and Audits

The cornerstone of any financial diligence process is the review of the company's core financial statements. However, simply accepting these documents at face value is insufficient. A sophisticated analysis requires probing the context of their creation, particularly the role and findings of independent auditors.

(1-2) The initial request is for a complete set of **audited annual financial statements for the three most recent fiscal years** and all **unaudited interim financials** since the last audit. This provides a multi-year view of performance and a more current snapshot of the company's health. The most critical component of the audited statements is the **auditor's opinion letter**. An "unqualified" or "clean" opinion provides a baseline level of assurance. Conversely, a "qualified" opinion or the inclusion of an "emphasis of matter" or "going concern" paragraph signals significant underlying issues that demand immediate and deep investigation.

(3) Beyond the formal opinion, the **management letter** issued by auditors is a document of paramount importance. While the financial statements may be materially correct, this letter details any "significant deficiencies" or "material weaknesses" in the company's internal controls. It is a direct window into the operational chaos or discipline of the finance function. A history of unresolved control weaknesses suggests a higher risk of future financial misstatement, reporting errors, or even fraud. Requesting these letters and the company's responses tests management's transparency and commitment to sound financial governance.

(4) Finally, understanding the company's **accounting policies** is crucial for interpreting its

financial results. A change in an accounting policy, for example, from an aggressive to a conservative method of revenue recognition, can make year-over-year comparisons misleading without proper adjustment. Demanding a summary of significant policies and a quantification of any changes ensures a true "apples-to-apples" comparison of performance over time.

1.2 Revenue, Billings, and Deferred Revenue Analysis

Revenue is the lifeblood of a startup, but not all revenue is created equal. This section deconstructs the top-line number to assess its quality, predictability, and compliance with accounting standards. High-quality revenue is recurring, diversified, and recognized in accordance with Generally Accepted Accounting Principles (GAAP) or International Financial Reporting Standards (IFRS).

(5-7) The analysis begins by demanding a **granular breakdown of revenue** by stream, product, and geography, as well as a list of top customers. A single revenue number can hide significant risks. For example, discovering that 80% of revenue comes from two customers (**customer concentration**) presents a material risk to future stability. Similarly, a high percentage of non-recurring professional services revenue in what is pitched as a SaaS company calls the scalability of the business model into question.

(6, 8-9) A critical area of inquiry is the reconciliation between management's preferred "vanity metrics" and GAAP revenue. Startups often emphasize metrics like **Bookings** or **Annual Recurring Revenue (ARR)**, which can be inflated by large, multi-year contracts paid upfront. While useful, these are not the same as earned revenue. The **deferred revenue waterfall schedule** is the key document that bridges this gap, showing precisely how cash collected upfront is recognized as revenue over the life of the contract. Probing for **unbilled receivables**—revenue recognized before an invoice is even sent—can uncover aggressive or non-compliant accounting practices. A rigorous reconciliation between bookings, billings, deferred revenue, and recognized revenue is the only way to verify the true economic performance of the company.

1.3 Cost Structure and Gross Margin Analysis

The gross margin reveals the fundamental profitability and scalability of a company's product or service. It measures the efficiency of revenue generation by subtracting the direct costs associated with that revenue (Cost of Goods Sold, or COGS). For a software company, a high and stable gross margin is a key indicator of a healthy, scalable business model.

(10-11) A detailed, itemized breakdown of **COGS** is required to understand what drives the gross margin. For a SaaS company, these costs typically include server and hosting fees, third-party data and API costs, salaries for customer support and implementation staff, and software licenses directly tied to service delivery. Analyzing the **gross margin percentage** over time and by product line reveals important trends.

(12-13) A declining gross margin is a significant red flag that can point to deeper, non-financial problems. It may indicate that the product has significant **technical debt**, requiring ever-increasing hosting resources to maintain performance as usage grows. It could also signal that the product is not a true, self-service software but requires extensive and costly human intervention (professional services) to onboard and support each new customer, undermining the scalability thesis. By demanding a narrative explanation for margin trends and a "per-customer" cost analysis, investors can connect the financial data to the underlying

operational and technical realities of the business.

1.4 Operating Expense and Profitability Deep Dive

Operating expenses (OpEx) represent the investments a company makes in its future growth (Sales & Marketing, Research & Development) and its day-to-day existence (General & Administrative). The allocation and efficiency of this spending provide a clear financial narrative of the company's strategy, priorities, and discipline.
(14-16) A line-by-line scrutiny of OpEx, broken down by department (S&M, R&D, G&A), is the starting point. Comparing this spending to **departmental budgets** reveals the company's ability to plan and execute with financial discipline. Large, unexplained variances can signal a lack of control or poor forecasting capabilities. Tracking **headcount by department** alongside these expenses helps to understand the primary cost drivers.
(17) The analysis must go beyond simply recording the numbers and demand a justification of the return on these investments. For instance, high **R&D spending** must be correlated with tangible outputs, such as new product features shipped or intellectual property (patents) filed. Without this link, high R&D spend could represent inefficiency rather than innovation. Similarly, high S&M spend must be evaluated through the lens of unit economics (Part II) to ensure it is generating profitable growth.
(18) Finally, a thorough review of **related-party transactions** is essential to uncover any potential conflicts of interest or arrangements that are not at arm's length. This ensures that company resources are being used for the benefit of all shareholders, not just a select few insiders.

Part II: The Business Model and Unit Economics

This section transitions from verifying historical accounting to dissecting the company's core economic engine. Unit economics analysis determines whether the company has a viable, repeatable, and scalable model for acquiring customers at a cost that is significantly lower than the value they generate over their lifetime. A company can be unprofitable on paper but have a fundamentally sound business model if its unit economics are strong.

2.1 Customer Acquisition Economics (CAC)

Customer Acquisition Cost (CAC) measures the total cost to acquire a single new customer. It is a foundational metric, but one that is notoriously easy to manipulate. Therefore, diligence must focus not just on the final number, but on the integrity of the calculation itself.
(19-20, 22-23) The inquiry must begin with a forensic audit of the **CAC calculation methodology**. It is not enough to be given a number; the company must disclose every general ledger account and the percentage of its expense that is included in the CAC numerator (e.g., sales salaries, marketing program spend, ad costs, commissions, software tools). They must also provide the source data for the denominator—the number of "new customers"—and justify their definition. Founders may be tempted to exclude certain costs (like the salaries of sales managers or onboarding specialists) to make CAC appear lower. Demanding this level of transparency is the only way to ensure an accurate, "fully loaded" CAC.
(21) The trend in CAC is often more telling than its absolute value. A **rising CAC** can indicate that the most accessible market segments are becoming saturated, forcing the company to

spend more to attract each incremental customer. Analyzing **CAC by acquisition channel** (e.g., paid search vs. content marketing) reveals which channels are most efficient and which may be approaching a point of diminishing returns.

2.2 Customer Value and Retention Economics (LTV, Churn, Retention)

Once a customer is acquired, this section assesses the value they generate for the business. This is a function of how much they spend, how profitable that spending is, and, most importantly, how long they remain a customer.

(24-25) Customer Lifetime Value (LTV) is a projection of the total gross profit a company will earn from a customer over their entire relationship. The request must include not only the LTV figure but also its constituent inputs: the Average Revenue Per Account (ARPA), the Gross Margin percentage, and the Customer Churn Rate. Scrutinizing these inputs is key, as small changes in assumptions (especially the churn rate) can lead to dramatic swings in the calculated LTV.

(26-29) While LTV is a forward-looking estimate, **Net Revenue Retention (NRR)** is a powerful, historical metric that provides the clearest signal of product-market fit and customer satisfaction. NRR measures the change in recurring revenue from a starting cohort of customers over time, including revenue lost from churned customers (churn), revenue lost from remaining customers who downgrade (contraction), and new revenue gained from remaining customers who upgrade or buy more (expansion). An NRR greater than 100% indicates that the growth from the existing customer base outpaces the losses, creating a powerful, self-sustaining growth engine. This is a hallmark of elite SaaS businesses. A **cohort analysis**, which tracks the NRR and Logo Retention of each group of customers acquired in a specific period (e.g., Q1 2022), is the gold standard for this analysis, as it shows whether product value and retention are improving or degrading over time.

2.3 Synthesis of Unit Economics (LTV:CAC Ratio & Payback Period)

This final section of Part II synthesizes the acquisition and value metrics to provide a holistic view of the business model's health.

(30-31) The **LTV:CAC ratio** is the ultimate measure of unit economic viability. It directly compares the value of a customer to the cost of acquiring them. A ratio greater than 3:1 is widely considered the benchmark for a healthy, sustainable SaaS business, indicating that for every dollar spent on acquisition, three dollars of gross profit are generated over the customer's lifetime. The **CAC Payback Period** measures capital efficiency, showing how many months of gross profit it takes to recoup the initial acquisition cost. A shorter payback period (typically under 12 months) means the company can recycle its capital back into growth more quickly.

(32-33) Presenting these metrics on a quarterly trended basis is essential. An improving LTV:CAC ratio and a shortening payback period demonstrate a business that is becoming more efficient and scalable as it grows. Strong unit economics provide a clear, data-driven **path to future profitability**. They demonstrate that even if the company is currently losing money due to heavy investment in growth, the underlying economic engine is sound. Profitability then becomes a strategic choice about when to moderate growth spending, rather than a structural impossibility.

Part III: Projections, Cash Flow, and Capital

Management

This part shifts the focus from historical performance to the future. It involves a rigorous examination of the company's financial plan, its underlying assumptions, and its ability to manage its most critical resource: cash. The goal is to assess the credibility of management's growth ambitions and their capacity to navigate the financial realities of a high-growth enterprise.

3.1 Financial Projections and Operating Model Scrutiny

A company's financial model is more than a spreadsheet; it is the quantitative expression of its strategy. The diligence process must deconstruct this model to test the logic and realism of its foundational assumptions.
(34-35) The request is for the company's detailed, **bottom-up financial model**, including monthly projections for the P&L, Balance Sheet, and Cash Flow Statement for at least the next three years. Crucially, the model must be accompanied by a dedicated **'Assumptions' tab**. This tab is the "plot" of the financial story, detailing the key operational drivers that underpin the financial outputs. These drivers include projected rates for new customer acquisition, changes in pricing (ARPA), customer churn, sales representative productivity and quota attainment, and the detailed hiring plan by department.
(36-37) A projection is only as credible as its assumptions. Therefore, the company must provide **historical data to substantiate** its forward-looking claims. If the model projects a 20% increase in sales efficiency, it must be supported by historical evidence of such improvements. A "hockey stick" projection unsupported by historical precedent is a significant red flag, indicating either naivete or an intent to mislead. A **sensitivity analysis**, showing how revenue and cash runway are impacted by changes in the most critical assumptions, further tests the robustness of the plan and management's awareness of key risks.

3.2 Cash Burn, Runway, and Liquidity Management

For a venture-backed startup, cash is oxygen. This section focuses on the critical task of managing liquidity to ensure the company's survival and ability to execute its plan.
(38-39) The analysis starts with the calculation of **Gross Burn** (total monthly cash expenses) and **Net Burn** (the net monthly cash loss after accounting for cash inflows). The **cash runway** is then calculated by dividing the current cash balance by the monthly Net Burn rate, yielding the number of months the company can operate before running out of money. This is the company's financial lifeline.
(40-41) A more sophisticated analysis moves beyond the absolute burn rate to assess **"Burn Quality"**. Not all spending is equal. "Good burn" is an investment in assets that create long-term value, such as efficient customer acquisition (building a base of profitable customers) or product development (enhancing the core IP). "Bad burn" is spending on non-essential overhead or inefficient marketing that yields a poor return. By requiring the company to categorize its burn into these buckets (Growth, Product, Overhead) and justify the ROI on its investments, an investor can determine if their capital is being used to build a valuable enterprise or simply to fund operations.
(42) Finally, understanding the company's contingency planning is vital. Knowing the **minimum cash balance** required for operations and the board-approved plan for when that threshold is

approached reveals management's foresight and preparedness for adverse scenarios.

3.3 Working Capital Analysis

Working capital management reflects a company's operational efficiency in handling its short-term assets and liabilities. It provides insights into the health of its relationships with both customers and suppliers.

(43-44) An **Accounts Receivable (AR) aging schedule** is essential for assessing the speed and efficacy of cash collection. A growing balance in the ">90 days past due" column can indicate customer satisfaction issues, billing disputes, or simply a lack of leverage over the customer base. This represents cash that has been earned but not collected, straining the company's liquidity.

(45-48) Conversely, the **Accounts Payable (AP) aging schedule** shows how the company manages its obligations to its own suppliers. While extending payment terms can be a sign of negotiating power, it can also signal a cash crunch that risks damaging key supplier relationships. The synthesis of these cycles, the **Cash Conversion Cycle**, measures the time it takes for a dollar invested in operations (e.g., paying for hosting) to make its way back into the company's bank account as cash from a customer. An efficient, short cycle is a sign of a well-managed, liquid operation.

Part IV: Capital Structure, Liabilities, and Corporate Finance

This section of diligence investigates the legal and financial architecture of the company. It answers the critical questions of who owns the company, what the company owes to others, and what pre-existing commitments could dilute, restrict, or subordinate a new investor's stake.

4.1 Equity and Capitalization Table

The capitalization table, or "cap table," is the definitive record of company ownership. A thorough review must uncover not only the current ownership structure but all potential sources of future dilution.

(49-50) The foundational document is the **fully-diluted capitalization table**, which must be certified by a company officer for its accuracy. This document must detail every class of stock, all issued shares, and all outstanding equity derivatives like options and warrants. A critical component is the status of the **employee stock option pool**, including the number of shares authorized, granted, and remaining available. An insufficient pool will necessitate an expansion as part of the financing, causing further dilution to all existing shareholders, including the new investor.

(51-52) The current cap table often does not tell the full story. An investor must uncover the **"shadow cap table"** by identifying all sources of latent dilution. This requires a **pro-forma cap table** that models the conversion of all outstanding convertible instruments, such as SAFEs (Simple Agreements for Future Equity) and convertible notes, which will become equity in the current financing round. Furthermore, the company must disclose any **verbal or un-granted promises of equity**, as these represent future claims on the ownership structure.

(53-54) The issuance of stock options to employees has significant tax implications. **409A valuation reports** are independent appraisals that set the fair market value of the company's

common stock, which is used as the strike price for option grants. Reviewing these reports ensures the company is compliant with tax law and avoids "cheap stock" issues that can create liabilities for the company and its employees. Finally, understanding any **special rights** granted to previous investors, such as pro-rata investment rights, is crucial for defining the rights of the new investor.

4.2 Debt, Covenants, and Off-Balance-Sheet Liabilities

Debt is more than just a financial obligation; it can be a strategic constraint. This section examines all forms of indebtedness and other commitments to understand their impact on the company's operational flexibility and an investor's position in the capital stack.
(55-57) All **agreements related to indebtedness**, including bank loans and venture debt, must be reviewed in their entirety. The focus is on identifying **covenants**—contractual restrictions that can limit the company's ability to take certain actions (negative covenants) or require it to meet certain financial targets (financial covenants). A breach of these covenants can trigger default, giving the lender significant power. It is also critical to identify any **security interests or liens**, which give lenders a claim on company assets (including intellectual property) that is senior to that of equity investors in a liquidation scenario.
(58-60) Liabilities are not always visible on the balance sheet. Diligence must probe for **off-balance-sheet liabilities**, which are future financial obligations that are not yet recorded as debt. Common examples include long-term operating leases for office space, guarantees of third-party debt, or broad indemnification clauses in customer contracts. These represent real future cash outflows that must be factored into any valuation or cash flow analysis. Understanding any **"change of control" provisions** is also critical, as these can be triggered by a financing or future sale of the company, potentially creating obstacles or requiring costly consent payments.

Part V: Compliance, Controls, and Risk

This final part of the diligence process serves as a comprehensive review to ensure the company is operating on a sound legal and operational footing. It assesses tax compliance, the strength of internal financial controls, and the adequacy of its risk management practices, such as insurance coverage.

5.1 Tax Compliance and Filings

Tax non-compliance can create significant, unrecorded liabilities that can surface years after an investment is made. A thorough review of a company's tax posture is a critical risk mitigation step.
(61-62, 65) The process begins with a review of all filed **federal, state, and local tax returns** for income, sales, and payroll taxes for the past three years. Any correspondence with tax authorities regarding **audits or disputes** must be disclosed, as these can indicate ongoing issues or unresolved liabilities.
(63-64) For modern companies with remote employees and digital sales, one of the most significant hidden risks is **"nexus"**—the determination of where the company has a sufficient presence to be obligated to collect and remit taxes. A company may have employees in 20 states but only be filing taxes in a handful, creating a massive potential liability for back taxes

and penalties. Diligence must map the company's physical and economic footprint and demand a legal justification for any jurisdictions where it has a presence but is not filing taxes.
(66) For technology startups, **R&D tax credits** can be a significant source of cash. However, these credits are often scrutinized by tax authorities. The company must provide the supporting documentation for any credits claimed to ensure they are defensible upon audit.

5.2 Accounting Policies and Internal Controls

This section looks beyond the financial reports to examine the processes and people behind the numbers. A strong internal control environment is the best defense against error, fraud, and operational chaos.
(67-70) In the fast-paced environment of a startup, formal processes are often sacrificed for speed. However, a complete lack of **internal controls** is a major red flag for an institutional investor. Diligence must probe for basic, sensible controls. This includes processes for approving large cash disbursements, reimbursing employee expenses, and ensuring a **segregation of duties** (e.g., the person approving a payment is not the same person executing it). The existence of these processes is a proxy for management's maturity and the company's readiness to handle investor capital responsibly. The process for the **monthly financial close** and management's review of the statements before board presentation is another key indicator of financial discipline.

5.3 Insurance and Risk Management

Adequate insurance coverage is a critical, and often overlooked, component of risk management. It protects the company's assets and provides a financial backstop against unforeseen events.
(71-73) A schedule of all **insurance policies** must be reviewed to ensure the coverage types (e.g., Directors & Officers, Errors & Omissions, Cybersecurity) and limits are appropriate for the company's size and industry. For a technology company, **cyber liability insurance** is particularly critical. Reviewing the original application for this policy is important, as any misrepresentations about security practices could be used by the insurer to deny a future claim, leaving the company exposed.

5.4 Litigation and Regulatory Compliance

This final check ensures there are no outstanding legal or regulatory issues that could create contingent liabilities or impede the company's ability to operate.
(74-75) The company must disclose any **pending or threatened litigation**, as a major lawsuit could result in a significant financial judgment against the company. Similarly, it must confirm that all **licenses and permits** required by law to operate its business are in place and in good standing, ensuring there are no regulatory impediments to its continued operations.

Conclusion

The successful execution of this comprehensive due diligence framework provides an investor with far more than a simple validation of a startup's financial statements. It yields a multi-faceted, deeply contextualized understanding of the business's operational health,

strategic priorities, management quality, and fundamental economic viability. By moving beyond surface-level inquiries and demanding verifiable evidence for every claim, these 100 interrogatories are designed to systematically de-risk an investment opportunity.

For the automated due diligence platform envisioned by the user, this framework provides the logical architecture for its AI agent. Each question represents a specific data request, the response to which can be programmatically verified against the provided documents. The structure allows for the development of a sophisticated scoring algorithm that can weigh risks based on the completeness and quality of the responses, the integrity of the calculations, and the presence of red flags. Ultimately, this rigorous, data-driven approach transforms due diligence from a subjective, manual process into a systematic, quantifiable assessment of trust and risk, enabling faster, smarter, and more secure investment decisions.

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